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India data centre investments shift to multi-city portfolios, capacity nears 2GW

India's data centre sector returned to multi-city investment strategies in the first half of 2026, with over 85 per cent of $38 billion committed to such portfolios. This shift aims to build resilience, with total operational capacity projected to reach 2 gigawatts by the end of 2026.

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Highlights

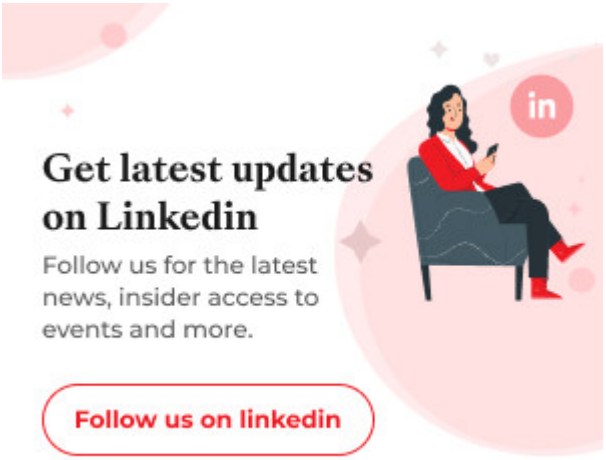
- Multi-city data centre investments accounted for 85 per cent of $38 billion in H1 2026.
- India's operational data centre capacity is set to reach 2GW by end-2026.
- Mumbai holds over 52 per cent of total capacity; Chennai has 18 per cent.
- Total data centre commitments since 2021 reached $173 billion, with 15 per cent for AI.



India's data centre sector saw a return to multi-city investment strategies in the first half of 2026, according to a recent market research report. Investors committed over 85 per cent of $38 billion in H1 2026 to new projects spread across multiple hubs, CBRE's report stated.

This follows a period dominated by single-site mega projects, with multi-city capital deployment now accounting for the majority. Large capacity additions are typically spread across several cities to build resilience.

Between 2021 and 2023, multi-city portfolios represented over 60 per cent of total investments. This included targeted spending in primary hubs such as Mumbai, Delhi-NCR, Bengaluru, and Chennai.



The trend temporarily shifted in 2024 and 2025, with Hyderabad capturing 23 per cent and 15 per cent of total investments respectively. Tier-II cities secured 16 per cent and 27 per cent in those years, driven by standalone mega projects like Google's centre in Vizag.

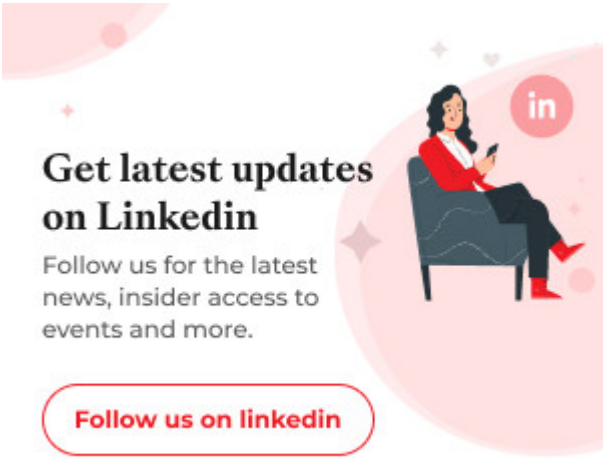
India added 130 megawatts (MW) of new capacity in H1 2026. Mumbai accounted for 94 per cent of this new supply, while Chennai contributed the remaining 6 per cent.

Established micro markets like Navi Mumbai and Chennai's Siruseri continue to see significant activity. Mumbai currently holds over 52 per cent of the country's total data centre capacity, with Chennai at 18 per cent.

More than 200 MW is expected to be added in the second half of the year. This puts India's total operational capacity on track to reach 2 gigawatts (GW) by the end of 2026.

While over 80 per cent of India's operational capacity remains concentrated in Mumbai, Chennai, and Delhi-NCR, incremental capacity is expected in secondary and emerging hubs. This is driven by better availability of land, power, and water.

Anshuman Magazine, chairperson and CEO (India, SEA, Middle East and Africa) of CBRE, told TOI that India's data centre landscape is becoming more geographically diverse. He added that Hyderabad is emerging as a key growth market.



Operators are expected to add more capacity in Bengaluru, Kolkata, and Visakhapatnam, Magazine said. They weigh access to land, power, water, and connectivity, he noted.

Magazine clarified that the lower share of new supply in H1 2026 does not indicate a move away from Chennai by hyperscalers. It reflects a maturing multi-hub market, he stated.

Recent investments bring India's total data centre commitments to around $173 billion since 2021. Over 15 per cent of this capital is specifically dedicated to supporting Artificial Intelligence (AI).

Large global tech companies and cloud providers, known as hyperscalers, continue to drive most of the real estate demand. They account for 50-55 per cent of current market activity.

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